

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$94.19 ▼ 0.20%	12M Price Target \$110.00	52-Week Range \$63.52 – \$153.86	Market Cap \$84.69B
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HOOD: Crypto & Prediction Markets Push Building Real Momentum

WHAT HAPPENED

- Stock is basically flat (-0.20%) but the overnight news flow is actually pretty bullish — Polymarket (the big prediction markets platform) is hiring Robinhood and Coinbase veterans ahead of a major US launch push this fall. That's a signal the whole prediction markets category is going legit, and HOOD is already in that game.
- Bloomberg flagged more retail money flowing into Bitcoin ETFs via Robinhood, and Zacks is asking whether the UK crypto expansion moves the needle on trading revenue. Translation: the market is starting to price HOOD less as a stock-trading app and more as a diversified financial platform.

WHY IT MATTERS

Here's what I think is really going on: HOOD is quietly transforming its business mix, and the market hasn't fully digested it yet. Options flow is screaming bullish (put/call ratio of 0.44 — meaning traders are buying almost 3x more calls than puts, betting on upside), and institutions own 75% of the float with BlackRock and Vanguard both loading up. The bigger picture: the Trump administration's crypto-friendly stance and the CFTC's greenlight on prediction markets are basically handing HOOD two brand-new revenue streams that didn't exist a year ago. If Polymarket's US launch this fall goes well, it validates the whole category — and HOOD's event contracts business gets re-rated higher.

POLICY & POLITICAL WATCH

The big one to watch: the CLARITY Act and market structure legislation working through Congress — if it passes, it gives crypto exchanges (and HOOD's crypto arm) clear regulatory rules, which is huge because uncertainty has been the biggest cap on the multiple. Also, the CFTC under the current administration has been notably permissive on prediction markets (event contracts on elections, sports, etc.) — that's a direct tailwind for HOOD's Kalshi-competing product. Headwind to watch: any pushback on payment-for-order-flow (PFOF — the practice of routing your trades to market makers who pay HOOD for the flow), which is still HOOD's core revenue engine. Under the current SEC that's on the back burner, but it's the one policy shift that could really hurt.

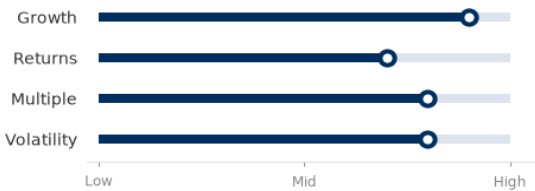
IS IT EXPENSIVE?

At \$94 and roughly 51x forward earnings, HOOD is not cheap — you're paying \$51 for every \$1 of expected profit next year, versus Schwab at around 20x. But the growth justifies a lot of it: revenue is likely growing 40%+ this year, and if crypto and prediction markets keep scaling, forward estimates get revised up. The stock is at 34% of its 52-week range (\$63-\$154), so there's real room to run if the story keeps working — but you're not getting it at a bargain.

Key Data

Price (USD)	\$94.19
12M Price Target	\$110.00
Upside / (Downside)	+16.8%
Market Cap	\$84.69B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	50.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$105.00	\$96.00	\$85.00
6 Months	\$125.00	\$108.00	\$80.00
1 Year	\$150.00	\$115.00	\$70.00
2 Years	\$200.00	\$140.00	\$60.00
5 Years	\$300.00	\$190.00	\$50.00
10 Years	\$500.00	\$275.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.77% today, +1.87% for the week) — AI and fintech names catching a bid as rate cut expectations firm up. Crypto-adjacent names are riding the regulatory clarity wave.

COOLING OFF: Financials (-0.09% today, -0.43% for the week) — traditional banks lagging as the yield curve does weird things and loan growth stays soft.

ROTATION WATCH: Money is rotating out of legacy financials and into fintech/crypto-adjacent names — that's a direct tailwind for HOOD because it sits in the crossover between tech and finance, and increasingly gets valued like tech.

RELATED PLAY: If HOOD's crypto/prediction markets story keeps running, watch COIN (Coinbase) as the pure-play crypto exchange, and CME as the incumbent that could either partner with or get disrupted by prediction markets.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct beneficiary of the same crypto regulatory tailwinds and Bitcoin ETF flows.
- SOFI (SoFi): Cramer talking it up in the \$16-19 range — retail fintech is having a moment as consumer lending stabilizes.

HOOD CONTEXT: HOOD is roughly middle-of-the-pack in its peer group right now — not leading (COIN has been hotter on crypto news) but not lagging either. Sitting at 34% of its 52-week range with bullish options flow suggests the stock is coiling for a move — the setup favors an upside break if the next catalyst (probably Polymarket launch or a CLARITY Act vote) lands right.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the business transformation story and the political backdrop, but the stock isn't cheap and it's volatile enough that I'm not pounding the table.

POSITION SIZE: 3-5% of portfolio — enough to matter if the thesis plays out, small enough that a 30% drawdown doesn't ruin your year.

ENTRY POINTS: I'd be a buyer on pullbacks to \$85-90, which is where the stock has found support recently. If it breaks above \$100 with volume, that's a momentum add signal.

TIME HORIZON: 12-24 months — the catalysts I'm waiting for are the Polymarket US launch, the CLARITY Act vote, and Q3/Q4 earnings showing crypto revenue holding up.

WHEN TO BAIL: If crypto trading revenue drops more than 25% quarter-over-quarter, or if the political winds shift on PFOF (payment for order flow), I'm cutting the position.

HEDGING: Simplest hedge — buy a small put position for downside protection (basically insurance that pays off if the stock drops). Alternative: pair it against a short in a traditional broker like Schwab if you want to isolate the "new fintech beats old broker" thesis.